THE UNIVERSITY OF CHICAGO
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Ward 14 Property Tax Report

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In Cook County and the City of Chicago, all properties pay taxes to support various governments. Municipal taxing bodies from the City of Chicago to the Chicago Public Schools (CPS) to Cook County Government all levy property taxes that are mechanistically comparable. The tax bill of a property is based on its assessed value, the levies of the taxing bodies it pays into, and the assessed values of the other properties in those taxing bodies.

Below is shown a ward map, with each ward shaded by the percentage of the total tax burden paid by residential taxpayers in it.

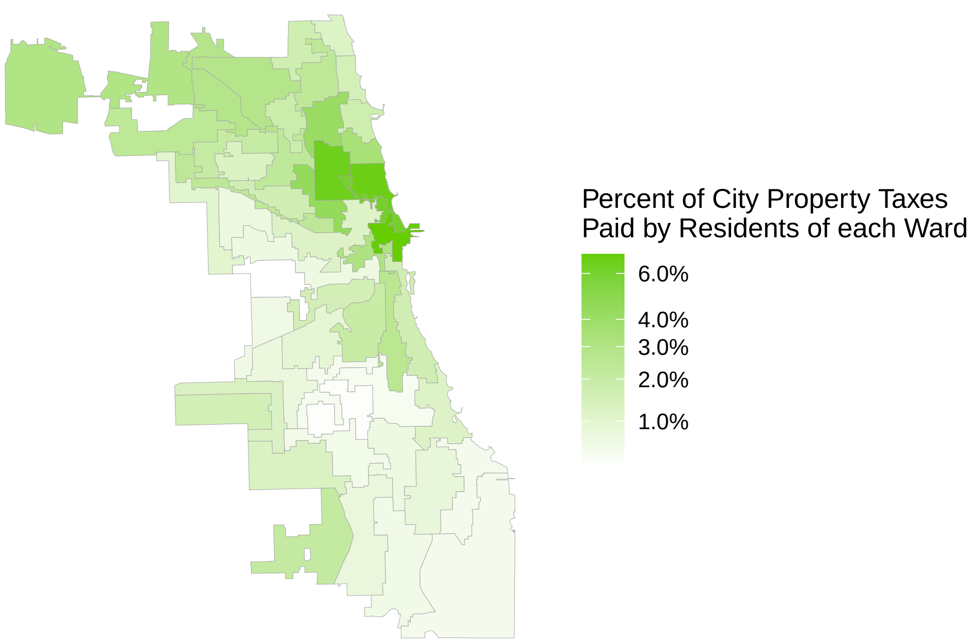

Figure 1. Map of the residential (Cook County Assessor Property Class 2) property tax share of the city tax levy in each ward in TY23.

Summary

This report focuses on the relative and absolute residential (Cook County Assessor Property Class 2) property tax burden of Ward 14 (Alderperson Jeylu B. Gutierrez).

While all wards have roughly equal populations, not all wards have similar aggregate tax burdens, due to the variance in property values across the City. This variation can be seen on the cover page, in Figure 1. In tax year 2023, Ward 14 paid approximately 0.74% of the City's and CPS' residential property taxes. This means that for every $100 increase in Chicago or CPS' levy, there would be about a $0.74 increase in property taxes paid by residents of Ward 14.

Ward 14 paid approximately $27.8M in property taxes in TY 2023, with a total assessed market value of approximately $1620M.

Over time, Ward 14 has paid about the same into TIF districts and more directly to the City and other taxing bodies. Figure 1 below shows the total amount paid by Ward 14, in millions of dollars, by residential taxpayers to Tax Increment Financing (TIF) districts, the City of Chicago, and CPS over almost two decades.

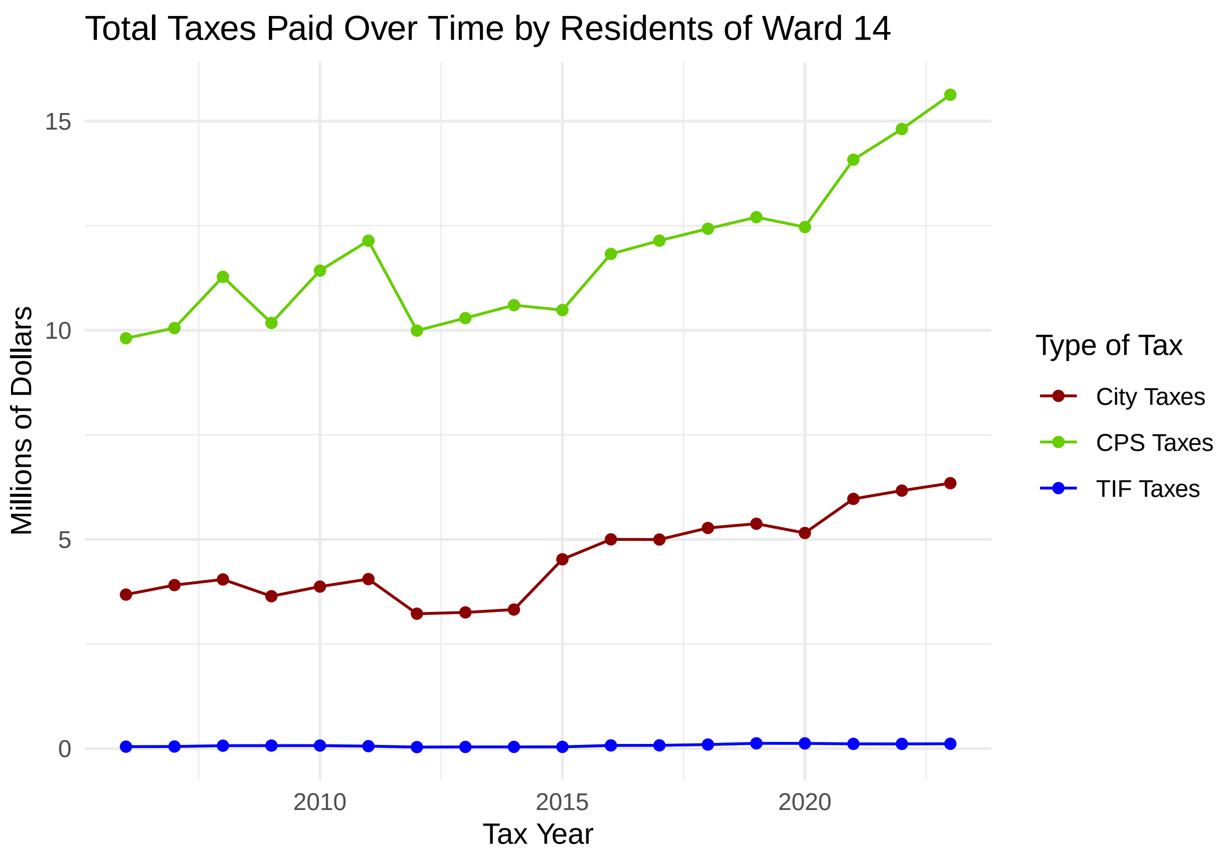

Figure 2. Total City and TIF residential property taxes paid by Ward 14 over time in millions of dollars.

What Ward 14 Pays for

While Chicago taxpayers often see more than ten agencies on their bills, some of these (such as CPS) constitute a very large fraction of their bill. Additionally, just as property values and assessments vary violently, so do property tax bill totals (the amount the taxpayer actually writes on the check.)

Table 1 shows approximately how much residential taxpayers in Ward 14 contributed to the City, CPS, its total residential property tax burden and total assessed market value in millions of dollars. The median total residential tax bill in the ward is given in dollars. The percent change in these figures from 2013 to 2023 is also provided.

Table 1: Ward 14 Tax Contributions

Type	All Property Taxes	CPS Property Tax	City Property Tax	Assessed Market Value	Median Residential Bill
TY 2023 Dollars	\$27.8M	\$15.6M	\$6.34M	\$1620M	\$2,902.80
Change from TY 2013 to 2023	49%	51%	94%	29%	55%

What Caused Ward 14's Bills to Change?

Because a property's tax bill is a function of assessments and levies, it is possible to approximate how much of the change in the bill is due to changing levies and how much is due to changes in assessments. This is done by simulating the two counterfactuals of the bill if assessments were held constant and levies changed, and vice versa. This computation, like most of the report, was done using data from PTAXSIM, the publicly available R software package that is created by the Cook County Assessor's Office.

Table 2 shows the results of the decomposition of the change in aggregate residential tax burden over four years (TY 2020-2023) in Ward 14 into the change due to changing levies/tax rates and the change due to changing assessments in millions of dollars. Typically, the main factor for rising tax bills is increasing levies rather than assessments, and the tax rate change value will usually be larger than the assessed value change, for both the absolute and signed values.

Table 2: Decompostion of the Ward 14 Tax Change Over Four Years

Type	Total Change	Tax Rate Change	Assessed Value Change
Amount	\$4.95M	\$4.7M	\$0.254M